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NetEase, Inc | Asia Pacific

BlizzCon 2026 Positive Read Across

Blizzard unveiled multi-year content pipeline at BlizzCon 2026 ([Link](#)):

- The most notable near-term addition is World of Warcraft: Forever, a new permanent WoW experience alongside Modern and Classic, scheduled to launch globally on November 4, 2026.
- It also updated Diablo franchise, with a new Amazon class pack for Diablo IV due in 1H27 and Diablo V for Spring 2029.
- Longer term, it is reviving the StarCraft franchise with a new open-world shooter targeted for Spring 2030.
- Overwatch continues to shift toward a higher-frequency annual live-service model, while Hearthstone will introduce Monk in March 2027, its first new playable class in six years.

Although it is unclear when these new versions/updates will be introduced in China by NetEase, we view it as a major positive enriching NetEase's future game pipeline.

We remain OW on NetEase.

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NetEase, Inc (NTES.O, NTES US)				
China Internet and Other Services China				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	US\$163.00			
Up/downside to price target (%)	38			
Shr price, close (Sep 14, 2026)	US\$117.99			
52-Week Range	US\$159.55-106.06			
Sh out, dil, curr (mn)	644			
Mkt cap, curr (mn)	US\$76,024			
Avg daily trading value (mn)	US\$104			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	58.02	62.31	71.26	75.37
EPS (Rmb)§	61.12	62.25	72.39	78.22
Revenue, net (Rmb mn)	112,626	121,208	127,299	133,703
EBITDA (Rmb mn)	38,082	48,770	50,971	53,928
Net income (Rmb mn)**	37,344	39,919	45,435	47,833
P/E	18.3	13.6	11.8	11.1
P/BV	3.9	2.8	2.5	2.2
ROE (%)	24.3	23.3	23.6	21.9
EV/EBITDA	12.1	6.8	6.0	5.1
Div yld (%)	0.3	0.4	0.5	0.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

NetEase, Inc (NTES.O)

Base case, sum of the parts.

- Games - 15x 2026e P/E compared to US/EU publishers at 15-30x. Reflects slower growth and limited overseas exposure.
- Music - Latest market cap adjusted for NetEase's stake of 61.35%.
- Youdao - Latest market cap adjusted for NetEase's stake of 53%.
- Net cash at 30% discount
- USD/CNY assumption of 6.75.

Risks to Upside

- Better-than-expected performance of existing and/or new game titles
- Faster-than-expected overseas expansion

Risks to Downside

- Shorter-than-expected life cycle of games
- Weaker-than-expected margin, with a drag from loss-making businesses

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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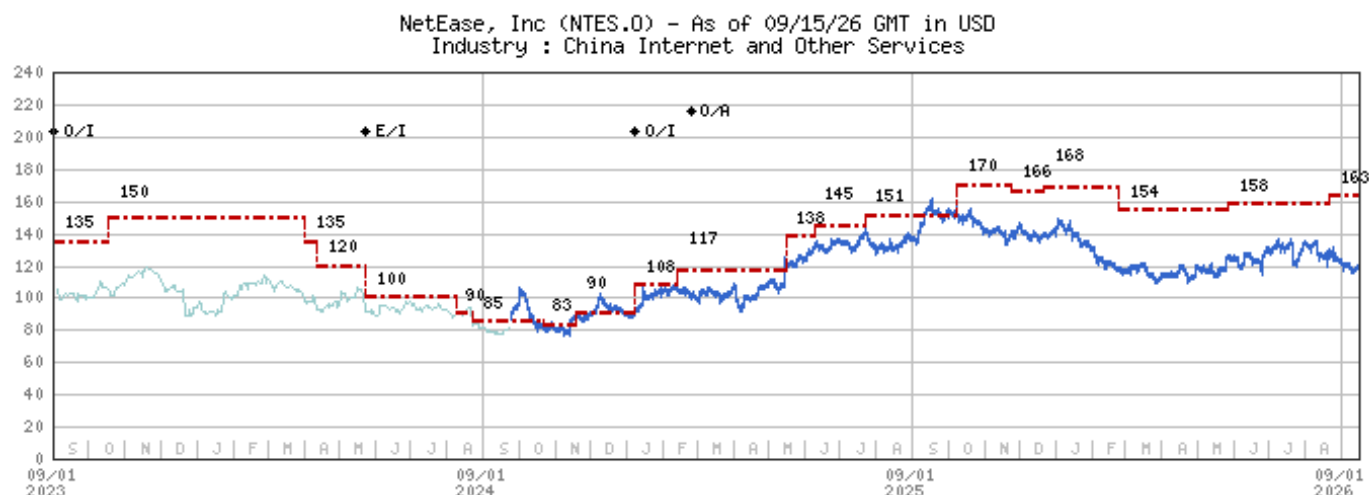
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 9/1/21 : O/A; 9/20/21 : O/I; 5/23/24 : E/I; 1/8/25 : O/I; 2/24/25 : O/A

Price Target History: 2/26/21 : 150; 9/1/21 : 130; 9/20/21 : 120; 11/1/21 : 140; 3/21/22 : 130; 7/14/22 : 125; 8/15/22 : 110; 10/18/22 : 95; 11/8/22 : 85; 12/14/22 : 95; 1/16/23 : 105; 1/17/23 : 107; 4/18/23 : 115; 5/26/23 : 120; 7/17/23 : 130; 8/25/23 : 135; 10/18/23 : 150; 4/2/24 : 135; 4/12/24 : 120; 5/23/24 : 100; 8/8/24 : 90; 8/23/24 : 85; 10/21/24 : 83; 11/18/24 : 90; 1/8/25 : 108; 2/12/25 : 117; 5/16/25 : 138; 6/9/25 : 145; 7/22/25 : 151; 10/8/25 : 170; 11/24/25 : 166; 12/22/25 : 168; 2/23/26 : 154; 5/27/26 : 158; 8/21/26 : 163

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/14/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$21.71
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.15
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$27.26
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$15.45
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$16.70
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$79.38
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$12.44
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$109.23
Baidu Inc (BIDU.O)	U (08/19/2026)	US\$91.90
Meituan (3690.HK)	O (08/29/2024)	HK\$75.05
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$430.60
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.09
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.00
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$77.18
Weibo Corp (WB.O)	U (05/17/2024)	US\$6.64
Yang Liu		
Bilibili Inc (BILI.O)	++	US\$15.74
Kuaishou Technology (1024.HK)	E (08/20/2026)	HK\$30.58
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$117.99
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$10.79
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$39.08

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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